

changes. In recent years, price uncertainty and hence volatility have been heightened as a result of increasing demand for oil from emerging markets such as China and India.

FIGURE 10-1

Gold and Oil Prices Adjusted for Inflation



Nonetheless, the price of oil tends to have a boom-and-bust cycle. [Figure 10-1](#) illustrates that the biggest run-up in price occurred in 1981 when oil hit an inflation-adjusted high.

There are data on gold prices going back thousands of years, and those data show that gold and inflation are basically one and the same. There have been large spikes in gold prices, followed by large price drops, but those movements tend to cancel each other out. Gold is a store of wealth that people hoard during bad economic times and sell when money is being made in other assets. Prices run up fast and then run down almost as fast, although it does take a while longer after an economic shock. In general